

3-2b Accrued Expenses

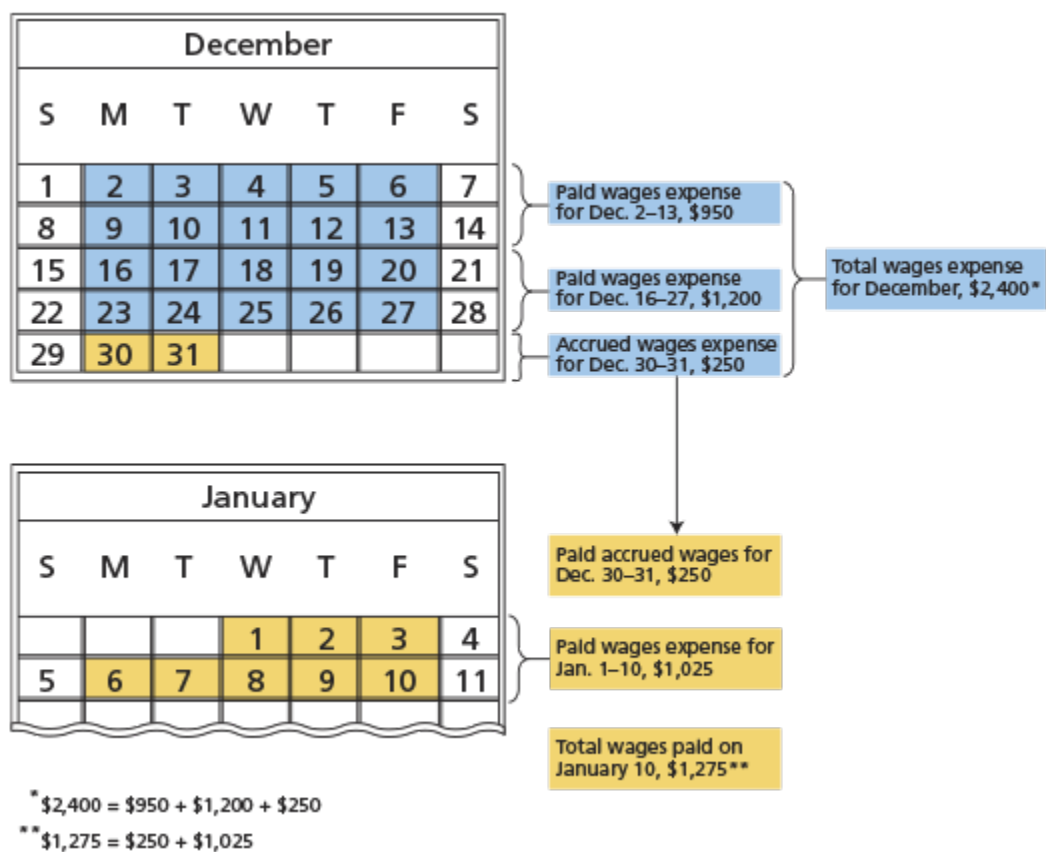
Some types of services used in earning revenues are paid for *after* the service has been performed. For example, wages expense is used hour by hour but is paid only daily, weekly, biweekly, or monthly. At the end of the accounting period, the amount of such *accrued* but unpaid items is an expense and a liability.

For example, if the last day of the employees’ pay period is not the last day of the accounting period, an accrued expense (wages expense) and the related liability (wages payable) must be recorded by an adjusting entry. This adjusting entry is necessary so that expenses are properly matched to the period in which they were incurred in earning revenue.

To illustrate, **NetSolutions** pays its employees biweekly. During December, NetSolutions paid wages of \$950 on December 13 and \$1,200 on December 27. These payments covered pay periods ending on those days as shown in **Exhibit 5**.

Exhibit 5

Accrued Wages



As of December 31, NetSolutions owes \$250 of wages to employees for Monday and Tuesday, December 30 and 31. Thus, the wages expense account is increased (debited) by \$250, and the wages payable account is increased (credited) by \$250. The adjusting journal entry and T accounts are as follows:

Adjusting Journal Entry

Dec. 31	Wages Expense	51	250
	Wages Payable	22	250
	Accrued wages.		

Accounting Equation Impact

Assets	=	Liabilities	+	Stockholders' Equity (Expense)
		Wages Payable 22		Wages Expense 51
		Dec. 31 250		Bal. 4,275
				Dec. 31 250
				Adj. Bal. 4,525

After the adjusting entry is posted, the debit balance of the wages expense account is \$4,525. This balance of \$4,525 is the wages expense for two months, November and December. The credit balance of \$250 in Wages Payable is the liability for wages owed on December 31.

As shown in [Exhibit 5](#), NetSolutions paid wages of \$1,275 on January 10. This payment includes the \$250 of accrued wages recorded on December 31. Thus, on January 10, the wages payable account is decreased (debited) by \$250. Also, the wages expense account is increased (debited) by \$1,025 (\$1,275 – \$250), which is the wages expense for January 1–10. Finally, the cash account is decreased (credited) by \$1,275. The journal entry for the payment of wages on January 10 follows:

Jan. 10	Wages Expense	51	1,025
	Wages Payable	22	250
	Cash	11	1,275

If the adjustment for wages (\$250) is not recorded, Wages Expense will be understated by \$250, and the net income will be overstated by \$250 on the income statement. On the balance sheet, liabilities (Wages Payable) will be understated by \$250, and stockholders' equity (Retained Earnings) will be overstated by \$250. The effects of omitting this adjusting entry are as follows:

	Amount of Misstatement
Income Statement	
Revenues correctly stated	\$ XXX
Expenses understated by	(250)
Net income overstated by	\$ 250

Balance Sheet

Assets correctly stated

\$ XXX

Liabilities understated by
Stockholders' equity overstated by
Total liabilities and stockholders'
equity correctly stated

→ \$ (250)

250 ←

\$ XXX

Link to Netflix

On a recent balance sheet, **Netflix** reported accrued expenses and other liabilities of \$843 million.

Check up Corner 3-1

Adjusting Entries for Accruals

The following data were accumulated for preparing the adjusting entries for Atlanta Rhythm Company:

- At the end of the year, \$13,680 of fees have been earned, but have not been billed to clients.
- Wages of \$12,500 are paid on Friday for a five-day workweek. The accounting period ends on Thursday, December 31.

Journalize the adjusting entries necessary on December 31, the end of the accounting period.